Human Resource Management - Set 4

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. Which of the following is a basic method of job evaluation?
A. Ranking method
B. Pareto analysis
C. Break-even analysis
D. SWOT analysis

2. Discharge of surplus labour by the employer for any reason is
A. layoff
B. lockout
C. retrenchment
D. boycott

3. The job description answers the question
A. WHO can do the job?
B. WHEN was the job created?
C. WHAT is the job?
D. WHY was the firm formed?

4. The last step of the eight-step grievance procedure is
A. Receive
B. Investigate
C. Communicate
D. Follow up

5. Which of the following is NOT an objective of HRM under the organisational objectives?
A. Contributing to organisational effectiveness
B. Providing social welfare schemes to the whole society
C. Ensuring the right people at the right place
D. Supporting the achievement of organisational goals

6. A situational test asks the candidate to
A. respond to a realistic work scenario
B. fill an application form giving his personal details
C. write an essay on any topic of his choice about his hobbies
D. submit his educational certificates and testimonials to the HR office

7. In SMART goals, the letter 'T' stands for
A. Tactical
B. Targeted
C. Tangible
D. Time-bound

8. Which of the following is a preventive mechanism for disputes?
A. Industrial Tribunal
B. National Tribunal
C. Works committee
D. Labour Court

9. Wage payment, leave, overtime and transfer are grievances resulting from
A. personal reasons
B. working conditions
C. management policy
D. union rules

10. Management development is a
A. planned, continuous process of improving managers' conceptual, human and decision-making abilities
B. one-time workshop that is held once in the lifetime of a manager
C. recruitment method used to attract the managers from outside
D. payroll function of the accounts department for the managerial staff

11. Compared with Personnel Management, HRM is generally considered
A. limited to wage payment
B. reactive only
C. proactive and strategic
D. purely clerical and routine

12. Which factor does a fair wage consider?
A. Only the minimum amount fixed under the law for the job
B. Only the wishes of the trade union leaders in the industry
C. Only the profit that the employer has earned in the last year
D. Productivity of labour and capacity of the industry to pay

13. A sound wage policy should be
A. kept secret from employees so that no one can compare pay
B. framed to pay the lowest possible wage to reduce costs
C. fair to both employers and employees and consistent with law
D. decided by the employer alone, without regard to the law

14. 'Equal pay for equal work' is a principle of
A. advertising
B. inventory control
C. wage policy
D. taxation only

15. Which is an off-the-job training method?
A. Job rotation
B. Classroom lectures
C. Apprenticeship
D. Coaching at the workplace

16. Which is the first step in the HRP process?
A. Analysing organisational objectives / plans
B. Conducting exit interviews with employees who have resigned
C. Estimating the compensation payable to the employees in the next year
D. Retrenching the surplus employees from various departments

17. The memory line 'JD = Do; JS = Who' means
A. JD is meant for managers only and JS for all the workers
B. JS lists the duties and tasks and JD lists the person's skills
C. JD lists the qualifications and JS lists the working conditions
D. JD describes what is done; JS describes who can do it

18. Keeping dated records of specific positive and negative incidents of an employee is the
A. paired comparison
B. critical incident method
C. forced distribution method
D. essay method

19. Under the classification method, jobs are
A. assigned to predetermined job classes or grades
B. scored using points
C. ranked as a whole from top to bottom
D. compared factor by factor with key jobs

20. Job evaluation helps minimise wage discrimination on the basis of
A. skills only

B. experience only
C. performance only
D. age, gender and caste

21. The relative amount of guaranteed versus at-risk pay is the
A. pay level
B. pay form
C. pay structure
D. piece rate

22. Trade unions in India are registered under the
A. Minimum Wages Act
B. Companies Act
C. Trade Unions Act, 1926
D. Factories Act

23. Which is a common cause of industrial disputes?
A. Wages and allowances, bonus and working conditions
B. Opening of a new branch in a different city by the firm
C. Change in the colour scheme of the company's products
D. Introduction of a new advertising campaign for the brand

24. Stock options are an example of
A. fringe benefit only
B. variable pay
C. guaranteed pay
D. equity-based compensation

25. If conciliation by an officer fails, the officer sends a report to government within
A. 14 months
B. 14 days
C. 1 day
D. 5 years

26. In BARS, a rating of 5 is described as
A. Satisfactory
B. Needs improvement
C. Poor
D. Outstanding

27. Collective bargaining is described as a bipartite process because
A. only management and workers' representatives participate without third-party intervention
B. three parties - employer, workers and an arbitrator - must be present
C. the agreement is signed by the employer and the government only
D. the government and the courts always take part in the negotiations

28. Compensation is
A. the bonus paid to an employee at the end of the financial year
B. the amount paid to an employee at the time of retirement only
C. the basic salary paid to an employee every month and nothing else
D. the total reward received by an employee in exchange for services performed

29. An interview with predetermined questions asked in the same order is a
A. stress interview
B. structured interview
C. unstructured interview
D. panel interview

30. According to Flippo, selection is a negative process because
A. unsuitable candidates are eliminated
B. it advertises vacancies
C. it attracts applicants

D. it widens the pool

31. Human Resource Planning (HRP) is the process of
A. evaluating the past performance of employees against fixed standards
B. analysing the duties and responsibilities attached to each job in the firm
C. forecasting an organisation's future demand for and supply of employees
D. determining the compensation and fringe benefits to be paid to all employees

32. Which statement describes HR in the era of globalisation?
A. HR avoids all cross-border rules because the firm works only inside one country
B. HR deals only with local employees and never with foreign or cross-border staff
C. HR stops using technology completely when the firm becomes a global company
D. HR manages multicultural and dispersed workforces, cross-border compliance and global mobility

33. Which job evaluation method is widely used currently and expresses jobs in terms of key factors and points?
A. Classification method
B. Essay method
C. Point method
D. Ranking method

34. In the point method, the most frequent key factors include
A. profit, sales and tax
B. age, religion and caste
C. skill, responsibility and effort
D. colour, size and shape

35. Sports, clubs and cultural events are
A. transport welfare such as commuting buses for the employees
B. housing welfare such as quarters and housing loans to staff
C. recreational and cultural welfare
D. health welfare such as medical care and hygiene facilities

36. Which is an EXTERNAL source of recruitment?
A. Transfer
B. Job rotation
C. Campus placement
D. Promotion

37. Development differs from training in being
A. short term and job specific
B. long term and aimed at future roles
C. narrow and specific
D. only for new workers

38. Which of the following is a TRADITIONAL method of performance appraisal?
A. 360-degree appraisal
B. Assessment centre
C. Straight ranking
D. BARS

39. Maintaining HR's contribution at a level appropriate to the organisation's needs is the
A. functional objective
B. organisational objective
C. personal objective
D. social objective

40. Which TNA level asks 'WHO needs training?'
A. Task analysis
B. Individual / person analysis
C. Organisational analysis
D. Market analysis

41. Bargaining across the whole of a single company is at the
A. industry level
B. plant level
C. enterprise level
D. international level

42. If a worker is still not satisfied after the manager's revision, the matter may be referred to
A. dismissal of the worker with one month's notice
B. an immediate lockout of the department concerned
C. voluntary arbitration
D. a compulsory strike notice to the management

43. Training needs are identified through analysis at three levels. These are
A. short-term, medium-term and long-term levels of the plan
B. organisational, task (job) and person (individual)
C. legal, social and political levels of the business environment
D. marketing, finance and production levels of the firm

44. Which is an objective of job evaluation?
A. To appraise individual performance for the purpose of promotion
B. To select the best candidate for a vacant position
C. To fix the number of employees required for each department
D. To determine equitable wage differentials between jobs

45. Benefits payable due to an enterprise's decision to terminate employment before normal retirement, or voluntary retirement, are
A. vested benefits
B. termination benefits
C. defined contribution
D. short-term benefits

46. Planning, organising, directing and controlling of HR activities are the
A. marketing functions of HRM
B. operative functions of HRM
C. financial functions of HRM
D. managerial functions of HRM

47. Job evaluation begins with
A. retrenchment
B. strike
C. job analysis
D. collective bargaining

48. Which is a source of INTERNAL supply of employees?
A. Campus recruitment from colleges and universities every year
B. Job portals and social media pages advertising vacancies outside
C. Employment exchanges and public employment agencies in the area
D. Replacement charts and skills inventory

49. Which method ranks jobs under factors such as mental effort, physical effort, skill and responsibility and assigns money to each factor?
A. Ranking method
B. Factor comparison method
C. Grading rating scale
D. Classification method

50. Person analysis of training needs identifies
A. which employees need training and what type
B. the goals and strategies of the organisation for the next five years
C. the equipment and budget available for the training programme
D. the duties and tasks to be performed in a particular job

Answer key - Set 4

1. **A**	11. **C**	21. **B**	31. **C**	41. **C**
2. **C**	12. **D**	22. **C**	32. **D**	42. **C**
3. **C**	13. **C**	23. **A**	33. **C**	43. **B**
4. **D**	14. **C**	24. **D**	34. **C**	44. **D**
5. **B**	15. **B**	25. **B**	35. **C**	45. **B**
6. **A**	16. **A**	26. **D**	36. **C**	46. **D**
7. **D**	17. **D**	27. **A**	37. **B**	47. **C**
8. **C**	18. **B**	28. **D**	38. **C**	48. **D**
9. **C**	19. **A**	29. **B**	39. **A**	49. **B**
10. **A**	20. **D**	30. **A**	40. **B**	50. **A**

Answers with explanations

1. Which of the following is a basic method of job evaluation?

Answer: A. Ranking method

Why correct: Ranking is a basic evaluation method.

B is wrong: Pareto analysis is quality analysis.

C is wrong: Break-even is a cost tool.

D is wrong: SWOT is strategic analysis.

2. Discharge of surplus labour by the employer for any reason is

Answer: C. retrenchment

Why correct: Retrenchment is permanent discharge of surplus staff.

A is wrong: Layoff is temporary.

B is wrong: Lockout is closure.

D is wrong: Boycott is refusal.

3. The job description answers the question

Answer: C. WHAT is the job?

Why correct: JD = what the job involves.

A is wrong: WHO is the job specification.

B is wrong: Not the JD question.

D is wrong: Not the JD question.

4. The last step of the eight-step grievance procedure is

Answer: D. Follow up

Why correct: Follow up checks the solution worked.

A is wrong: Receive is first.

B is wrong: Investigate is third.

C is wrong: Communicate is sixth.

5. Which of the following is NOT an objective of HRM under the organisational objectives?

Answer: B. Providing social welfare schemes to the whole society

Why correct: Social welfare for the whole of society is a societal-level goal; the organisational objectives are about making the firm itself effective.

A is wrong: This IS an organisational objective - HR exists to make the firm effective.

C is wrong: Right person in the right place is a core organisational objective.

D is wrong: Helping achieve organisational goals is the main organisational objective.

6. A situational test asks the candidate to

Answer: A. respond to a realistic work scenario

Why correct: A situational test puts the candidate in a realistic work scenario.

B is wrong: Filling a form is screening.

C is wrong: Writing an essay is a writing test.

D is wrong: Submitting certificates is documentation.

7. In SMART goals, the letter 'T' stands for

Answer: D. Time-bound

Why correct: In SMART, T = Time-bound.

A is wrong: Tactical is not in SMART.

B is wrong: Targeted is not in SMART.

C is wrong: Tangible is not in SMART.

8. Which of the following is a preventive mechanism for disputes?

Answer: C. Works committee

Why correct: Works committees prevent disputes.

A is wrong: Industrial Tribunal settles disputes.

B is wrong: The National Tribunal settles disputes.

D is wrong: Labour Court settles disputes.

9. Wage payment, leave, overtime and transfer are grievances resulting from

Answer: C. management policy

Why correct: Wage, leave, overtime and transfer are management-policy matters.

A is wrong: Personal reasons are attitudes.

B is wrong: Working conditions are physical and job conditions.

D is wrong: Union rules are not a source here.

10. Management development is a

Answer: A. planned, continuous process of improving managers' conceptual, human and decision-making abilities

Why correct: It is continuous and future-oriented.

B is wrong: It is continuous.

C is wrong: Not recruitment.

D is wrong: Not payroll.

11. Compared with Personnel Management, HRM is generally considered

Answer: C. proactive and strategic

Why correct: Personnel management was a routine, reactive administrative job; HRM is proactive, plans ahead and links people to business strategy.

A is wrong: Wage payment alone is only one small part of HRM.

B is wrong: Reactive only is the personnel-management style; HRM anticipates needs.

D is wrong: Clerical routine describes old personnel management, not HRM.

12. Which factor does a fair wage consider?

Answer: D. Productivity of labour and capacity of the industry to pay

Why correct: Fair wage considers labour productivity and the industry's capacity to pay.

A is wrong: Legal minimum alone is not fair wage.

B is wrong: Union wishes alone are not the factor.

C is wrong: Profit alone is not the factor.

13. A sound wage policy should be

Answer: C. fair to both employers and employees and consistent with law

Why correct: A sound policy is fair to both sides and follows the law.

A is wrong: Secrecy breeds suspicion.

B is wrong: Lowest possible pay is unfair.

D is wrong: Ignoring the law is illegal.

14. 'Equal pay for equal work' is a principle of

Answer: C. wage policy

Why correct: Equal pay for equal work is a wage policy principle against discrimination.

A is wrong: Advertising is marketing.

B is wrong: Inventory control is operations.

D is wrong: Taxation is public finance.

15. Which is an off-the-job training method?

Answer: B. Classroom lectures

Why correct: Classroom lectures happen away from the work place.

A is wrong: Job rotation is on-the-job.

C is wrong: Apprenticeship is on-the-job.

D is wrong: Coaching at work is on-the-job.

16. Which is the first step in the HRP process?

Answer: A. Analysing organisational objectives / plans

Why correct: HR plans flow from the organisation's objectives, so the first step is analysing them.

B is wrong: Exit interviews are an after-the-fact tool.

C is wrong: Compensation estimates come after the plan exists.

D is wrong: Retrenchment is a later decision.

17. The memory line 'JD = Do; JS = Who' means

Answer: D. JD describes what is done; JS describes who can do it

Why correct: It separates job from person.

A is wrong: Both apply to all jobs.

B is wrong: Duties are in JD.

C is wrong: Qualifications are in JS.

18. Keeping dated records of specific positive and negative incidents of an employee is the

Answer: B. critical incident method

Why correct: Recording dated good and bad incidents is the critical incident method.

A is wrong: Paired comparison compares pairs.

C is wrong: Forced distribution uses categories.

D is wrong: Essay method uses a written description.

19. Under the classification method, jobs are

Answer: A. assigned to predetermined job classes or grades

Why correct: Classification puts jobs into set classes or grades.

B is wrong: Scoring points is the point method.

C is wrong: Ranking as a whole is the ranking method.

D is wrong: Factor by factor is factor comparison.

20. Job evaluation helps minimise wage discrimination on the basis of

Answer: D. age, gender and caste

Why correct: Job evaluation pays the job, so it reduces bias by age, gender or caste.

A is wrong: Skill alone is not a bias.

B is wrong: Experience alone is not a bias.

C is wrong: Performance alone is not a bias.

21. The relative amount of guaranteed versus at-risk pay is the

Answer: B. pay form

Why correct: Pay form is the makeup of guaranteed and at-risk pay.

A is wrong: Pay level is market comparison.

C is wrong: Pay structure is internal comparison.

D is wrong: Piece rate is an incentive plan.

22. Trade unions in India are registered under the

Answer: C. Trade Unions Act, 1926

Why correct: Trade unions are registered under the Trade Unions Act, 1926.

A is wrong: Minimum Wages Act covers pay.

B is wrong: Companies Act covers companies.

D is wrong: Factories Act covers safety and hours.

23. Which is a common cause of industrial disputes?

Answer: A. Wages and allowances, bonus and working conditions

Why correct: Wages, bonus and working conditions are the commonest dispute causes.

B is wrong: A new branch is not a cause.

C is wrong: Colour scheme does not touch employees.

D is wrong: An ad campaign is not a cause.

24. Stock options are an example of

Answer: D. equity-based compensation

Why correct: Stock options give ownership shares, which is equity-based pay.

A is wrong: Stock options are more than a fringe benefit.

B is wrong: Variable pay is cash tied to results.

C is wrong: Guaranteed pay is fixed.

25. If conciliation by an officer fails, the officer sends a report to government within

Answer: B. 14 days

Why correct: The deck states 14 days.

A is wrong: Not the stated period.

C is wrong: Not the stated period.

D is wrong: Not the stated period.

26. In BARS, a rating of 5 is described as

Answer: D. Outstanding

Why correct: On the BARS scale 5 is the top rating, Outstanding.

A is wrong: Satisfactory is the middle point, 3.

B is wrong: Needs improvement is 2.

C is wrong: Poor is 1, the lowest point.

27. Collective bargaining is described as a bipartite process because

Answer: A. only management and workers' representatives participate without third-party intervention

Why correct: 'Bipartite' means two parties: only management and workers' representatives negotiate, with no outsider deciding.

B is wrong: Three parties (with an arbitrator) would make it tripartite.

C is wrong: The agreement is between employer and employees, not the government.

D is wrong: The government and courts are not always part of it.

28. Compensation is

Answer: D. the total reward received by an employee in exchange for services performed

Why correct: Compensation is the total reward (direct pay and benefits) for services.

A is wrong: A bonus is only part.

B is wrong: Retirement pay is only part.

C is wrong: Basic salary is only part.

29. An interview with predetermined questions asked in the same order is a

Answer: B. structured interview

Why correct: A structured interview asks the same fixed questions in the same order.

A is wrong: Stress interview applies pressure.

C is wrong: Unstructured interview is free-flowing.

D is wrong: Panel interview uses many interviewers.

30. According to Flippo, selection is a negative process because

Answer: A. unsuitable candidates are eliminated

Why correct: Selection rejects unsuitable candidates.

B is wrong: Advertising is recruitment.

C is wrong: Attracting is recruitment.

D is wrong: Widening is recruitment.

31. Human Resource Planning (HRP) is the process of

Answer: C. forecasting an organisation's future demand for and supply of employees

Why correct: HRP forecasts future demand for and supply of employees so the right people are available.

A is wrong: Evaluating past performance is performance appraisal.

B is wrong: Analysing job duties is job analysis.

D is wrong: Fixing compensation is a pay function.

32. Which statement describes HR in the era of globalisation?

Answer: D. HR manages multicultural and dispersed workforces, cross-border compliance and global mobility

Why correct: Globalisation widens HR's scope.

A is wrong: Compliance cannot be avoided.

B is wrong: Globalisation adds cross-border work.

C is wrong: Technology use grows.

33. Which job evaluation method is widely used currently and expresses jobs in terms of key factors and points?

Answer: C. Point method

Why correct: The point method scores key factors and converts points to pay.

A is wrong: Classification is grade based.

B is wrong: Essay is not an evaluation method.

D is wrong: Ranking is not factor based.

34. In the point method, the most frequent key factors include

Answer: C. skill, responsibility and effort

Why correct: Skill, responsibility and effort are the usual key factors.

A is wrong: Profit, sales and tax are company, not job, factors.

B is wrong: Age, religion and caste must not be used.

D is wrong: Colour, size and shape are not job factors.

35. Sports, clubs and cultural events are

Answer: C. recreational and cultural welfare

Why correct: They provide recreation.

A is wrong: Transport = commuting.

B is wrong: Housing = quarters.

D is wrong: Health = medical care.

36. Which is an EXTERNAL source of recruitment?

Answer: C. Campus placement

Why correct: Campus placement brings in candidates from outside, so it is external.

A is wrong: Transfer is internal.

B is wrong: Job rotation is internal.

D is wrong: Promotion is internal.

37. Development differs from training in being

Answer: B. long term and aimed at future roles

Why correct: Development is broad and future-oriented.

A is wrong: That describes training.

C is wrong: That describes training.

D is wrong: Development is not limited to new workers.

38. Which of the following is a TRADITIONAL method of performance appraisal?

Answer: C. Straight ranking

Why correct: Straight ranking is a traditional method.

A is wrong: 360-degree is modern.

B is wrong: Assessment centre is modern.

D is wrong: BARS is modern.

39. Maintaining HR's contribution at a level appropriate to the organisation's needs is the

Answer: A. functional objective

Why correct: Functional objectives keep HR service in proportion to needs.

B is wrong: Organisational objectives concern effectiveness.

C is wrong: Personal objectives concern employee goals.

D is wrong: Social objectives concern society.

40. Which TNA level asks 'WHO needs training?'

Answer: B. Individual / person analysis

Why correct: Person analysis shows who needs training.

A is wrong: Task asks what.

C is wrong: Organisational asks where.

D is wrong: Not a TNA level.

41. Bargaining across the whole of a single company is at the

Answer: C. enterprise level

Why correct: Enterprise covers all units of a company.

A is wrong: Industry covers an industry.

B is wrong: Plant covers a single plant.

D is wrong: International covers multinationals.

42. If a worker is still not satisfied after the manager's revision, the matter may be referred to

Answer: C. voluntary arbitration

Why correct: If still unsatisfied, voluntary arbitration is the final step.

A is wrong: Dismissal is not a remedy.

B is wrong: A lockout is not a step.

D is wrong: A strike notice is not a procedure step.

43. Training needs are identified through analysis at three levels. These are

Answer: B. organisational, task (job) and person (individual)

Why correct: Training needs are studied at organisation, task (job) and person level.

A is wrong: Time horizons are planning terms.

C is wrong: Legal, social, political are environment factors.

D is wrong: Marketing, finance, production are functions.

44. Which is an objective of job evaluation?

Answer: D. To determine equitable wage differentials between jobs

Why correct: Job evaluation sets fair pay differences between jobs.

A is wrong: Appraising performance is appraisal.

B is wrong: Selecting candidates is selection.

C is wrong: Headcount is manpower planning.

45. Benefits payable due to an enterprise's decision to terminate employment before normal retirement, or voluntary retirement, are

Answer: B. termination benefits

Why correct: Termination benefits arise from early termination or voluntary retirement.

A is wrong: Vested benefits are already earned.

C is wrong: Defined contribution is a pension plan.

D is wrong: Short-term benefits are paid within a year.

46. Planning, organising, directing and controlling of HR activities are the

Answer: D. managerial functions of HRM

Why correct: Planning, organising, directing and controlling are the four classic management functions applied to HR - the managerial functions.

A is wrong: Marketing functions deal with products and customers.

B is wrong: Operative functions are the hands-on HR activities (procurement, development, compensation...).

C is wrong: Financial functions deal with funds, not HR activities.

47. Job evaluation begins with

Answer: C. job analysis

Why correct: Job evaluation needs job descriptions, which come from job analysis.

A is wrong: Retrenchment is a discharge.

B is wrong: A strike is a work stoppage.

D is wrong: Collective bargaining is negotiation.

48. Which is a source of INTERNAL supply of employees?

Answer: D. Replacement charts and skills inventory

Why correct: These are internal records.

A is wrong: Campus is external.

B is wrong: Portals are external.

C is wrong: Exchanges are external.

49. Which method ranks jobs under factors such as mental effort, physical effort, skill and responsibility and assigns money to each factor?

Answer: B. Factor comparison method

Why correct: Factor comparison ranks jobs factor by factor and assigns money to each.

A is wrong: Ranking compares jobs as wholes.

C is wrong: Grading scale is a rating method.

D is wrong: Classification uses grades.

50. Person analysis of training needs identifies

Answer: A. which employees need training and what type

Why correct: Person analysis finds who needs training and what kind.

B is wrong: Organisation goals are organisational analysis.

C is wrong: Equipment and budget are resources.

D is wrong: Tasks and duties are task analysis.